Question 1 of 60

Question ID: 1587926

Which of the following statements is *most* accurate about a 3-for1 stock split in one of the securities in a price-weighted index?

A) The relative weights of the other securities in the index will increase.

B) The index value will decrease because the split security's price will decrease.

C) The index divisor will have to be increased to offset the price decrease of the split security.

Question 2 of 60

Question ID: 1587935

Can a firm that operates in a price-taker industry earn returns greater than its cost of capital in the long run?

A) No.

B) Yes, if the firm is sustainably a low-cost producer.

C) Yes, if the firm differentiates its product from its competitors' products.

Question 3 of 60

Question ID: 1587936

An analyst states, "Smith Company has a significantly higher degree of operating leverage than its industry peers." This statement is *most likely* based on analyzing Smith's costs by their:

A) nature.

B) function.

C) relationship with output.

Question 4 of 60

Question ID: 1587938

A country's banking industry consists of five banks, each with a 20% market share. One of the banks acquires a significant component of one of the other banks' operations, increasing its market share to 30% and decreasing the other bank's market share to 10%. As a result of this transaction, the Herfindahl-Hirschman Index (HHI) for the country's banking industry will:

- **A)** increase.
- **B)** decrease.
- **C)** remain unchanged.

Question 5 of 60

Question ID: 1587939

An analyst engaging in PESTLE analysis of an industry is *most likely* to evaluate its:

- **A)** liquidity pressures.
- **B)** technological influences.
- **C)** equity market capitalization.

Question 6 of 60

Question ID: 1587940

A historical base rate convergence approach is *most likely* to be appropriate for forecasting the sales growth of a(n):

A) online travel agency.

B) chain of grocery stores.

C) high-fashion clothing company.

Question 7 of 60

Question ID: 1587941

Grovers Inc. manufactures children's toys in a country where it has a significant share of the market and barriers to entry are high. Proxe Corp. manufactures underwear globally in a highly competitive environment. Recent innovations in machinery have reduced operating expenses in both Govers's and Proxe's industries. The reduced operating expenses are *most likely* to:

A) increase operating margins for both companies.

B) increase operating margins more for Grovers than for Proxe.

C) have little impact on the operating margins of either company.

Question 8 of 60
Question ID: 1587946

AgroCorp Inc., a Canadian grain producer, recently issued a five-year floating rate note with a face value of CAD 90,000,000. The bond pays semiannual interest based on the Canadian Overnight Repo Rate (CORRA) plus 150 bps per year. If CORRA is 0.50% in the final interest period, at maturity AgroCorp will pay bondholders:

- **A)** CAD 1,800,000.
- **B)** CAD 90,900,000.
- **C)** CAD 91,800,000.

Question 9 of 60

Question ID: 1587961

Following a one-notch downgrade by Standard & Poor's of a corporate bond from investment grade to non-investment grade, the bond would carry a credit rating of:

- **A)** BBB–, and the bond yield would likely increase.
- **B)** BB+, and the bond yield would likely increase.
- **C)** BB+, and the bond yield would likely decrease.

Question 10 of 60

Question ID: 1587948

BAMS Brokers is looking to enter a reverse repurchase agreement involving a security that is difficult to borrow. In this scenario, BAMS would:

A) buy the security, and the repo rate is likely to be below the general collateral repo rate.

B) sell the security, and the repo rate is likely to be above the general collateral repo rate.

C) buy the security, and the repo rate is likely to be above the general collateral repo rate.

Question 11 of 60

Question ID: 1587953

Lando Bank recently issued a 3-year floating rate note with quarterly interest of MRR + 0.60%. The MRR is currently 0.40%. Six months later, the required margin is 40 bps (0.40%). On reset date, the floating rate note will *most likely* be priced at:

A) par.

B) a discount.

C) a premium.

Question 12 of 60

Question ID: 1587957

A fixed income trader expects that the yield of a 5-year, 5% annual coupon bond with a Macaulay duration of 4.25 will decrease from 7% to 6%. As a result, the anticipated percentage increase in the bond's price is:

A) 4.25%.

B) less than 4.25%.

C) more than 4.25%.

Question 13 of 60

Question ID: 1587958

Consider the following bonds, all option-free and from the same issuer:

- Bond X: 4-year, zero coupon bond
- Bond Y: 10-year, zero coupon bond
- Bond Z: 10-year, 5% coupon bond

Which of the bonds is *most likely* to have the greatest convexity?

A) Bond X.

B) Bond Y.

C) Bond Z.

Question 14 of 60

Question ID: 1587965

A pension fund manager is analyzing the long-term bonds of three countries. The manager wants to invest in the bonds of the country with the strongest credit profile.

Characteristics	Country A	Country B	Country C
Real GDP growth (%)	0.50	0.75	1.00
Long-term external debt/GDP (%)	53.2	62.5	48.1
Short-term debt / Long-term debt (%)	35.0	24.7	28.9
FX reserves/GDP (%)	17.0	20.5	20.1

Based on the table above, the manager would *most likely* select:

A) Country A.

B) Country B.

C) Country C.

Question 15 of 60

Question ID: 1587966

Azzio Corp. is a frequent debt issuer and issues debt with various priority of claims. An investor who wants to invest in an Azzio bond that has the highest priority of claims would *most likely* purchase its:

A) 10-year, second lien debt.

B) 6-month, senior unsecured debt.

C) 20-year, senior unsecured debt.

Question 16 of 60

Question ID: 1587967

TKA Industries (TKAI) is a European semiconductor manufacturer with €2.5 billion senior unsecured corporate bonds outstanding. In 20X1, TKAI sold €1 billion of its balance sheet receivables to TKA Trust, a special purpose entity, which then issued €800 million senior bonds and €200 million subordinated bonds. In 20X3, TKAI issued a further €1.3 billion senior unsecured corporate bonds. Which of the following statements about these bonds' seniority is *most* accurate? TKAI's:

A) €1.3 billion corporate bonds are senior to TKA Trust's subordinated bonds.

B) €2.5 billion corporate bonds have the same seniority as TKA Trust's senior bonds.

C) €1.3 billion corporate bonds have the same seniority as its €2.5 billion corporate bonds.

Question 17 of 60
Question ID: 1587968

Consider the following 5-year asset-backed notes issued by Zollo Trust:

Tranche	Face value	Interest rate	Credit enhancement
Class A notes	$80 million	MRR + 0.2%	-
Class B notes	$10 million	MRR + 1.0%	Subordinated to Class A notes
Class C notes	$7 million	MRR + 2.0%	Subordinated to Class A and Class B notes
Class D notes	$3 million	MRR + 3.0%	Subordinated to Class A, Class B and Class C notes

During the year 20X3, MRR was 2.0% and defaults in the pool were $15 million. An investor who held $5 million of Class A notes and $5 million of Class B notes would receive interest for the year *closest* to:

A) $110,000.

B) $185,000.

C) $260,000.

Question 18 of 60

Question ID: 1587969

A sequential-pay collateralized mortgage obligation (CMO) has three tranches: Tranche A matures in 2 years, Tranche B matures in 5 years, and Tranche C matures in 10 years. An investor who expects a gradual decline in interest rates over the next 5 years would *most likely* be concerned about:

A) contraction risk, and therefore would prefer Tranche A.

B) extension risk, and therefore would prefer Tranche B.

C) contraction risk, and therefore would prefer Tranche C.

Question 19 of 60

Question ID: 1587970

BamBam Inc. is a Canadian manufacturer of specialized machinery to produce pet food. BamBam exports its machinery to clients in many different countries. A recent transaction involves the sale of a machine to a client in France. The contract date is May 31st, the delivery date is 60 days later, and the client will make payment to BamBam in Euros. Which of the following reasons *best* explains why BamBam should use a derivative rather than a spot market transaction to manage the currency risk of the contract?

A) BamBam is selling a machine at a contract price in euros but incurs costs in Canadian dollars.

B) BamBam is unable to sell euros today to offset the contract price of the machinery delivered to the French client.

C) BamBam faces a 60-day timing difference between the contract date and the delivery date when it is paid for the machine by the French client.

Question 20 of 60

Question ID: 1587971

An investor has written a 3-month call option on an asset at $35 for $4 when the asset is trading at $38. If, at expiration, the asset price is $37, the investor will have a:

- **A)** payoff of $2 at expiration.
- **B)** profit of $2 at expiration.
- **C)** loss of $2 at expiration.

Question 21 of 60

Question ID: 1587972

Ruby Inc. is a company in based in the United States that has recently acquired a subsidiary located in Switzerland. The company is concerned about the impact of fluctuations in the USD/CHF exchange rate on the value of the Swiss subsidiary. Which type of hedge would be *most* appropriate for Ruby to consider?

- **A)** Cash flow hedge.
- **B)** Fair value hedge.
- **C)** Net investment hedge.

Question 22 of 60

Question ID: 1587973

Which of the following *least likely* illustrates the correct way to calculate the forward price at time T of an asset (S) that has both costs and benefits of holding the asset, in addition to the opportunity cost of funds (Rf)?

A) $[S_0 + PV_0(\text{benefits}) - PV_0(\text{costs})]\ (1 + Rf)^T$

B) $[S_0 - PV_0(\text{benefits}) + PV_0(\text{costs})]\ (1 + Rf)^T$

C) $S_0(1 + Rf)^T + FV^T(\text{costs}) - FV^T(\text{benefits})$

Question 23 of 60

Question ID: 1587974

Assuming all other parameters remain unchanged, what is the impact of a decrease in the risk-free rate after the inception of a forward contract on the contract's mark-to-market value to the forward buyer? The forward contract's mark-to-market value to the forward buyer will:

A) increase.

B) decrease.

C) remain unchanged.

Question 24 of 60

Question ID: 1587975

The price of a forward contract:

- **A)** is stated in the contract.
- **B)** equals zero at contract initiation.
- **C)** may fluctuate during the contract's life.

Question 25 of 60

Question ID: 1587976

At initiation of a forward contract and a futures contract with identical terms, their prices are *most likely* to be different if:

A) the spot price is highly volatile.

B) the forward contract is marked to market daily.

C) short-term interest rates are negatively correlated with futures prices.

Question 26 of 60

Question ID: 1587977

At inception, a one-year quarterly pay fixed-for-floating interest rate swap:

A) has four unknown future payments.

B) has expected payments with a present value of zero.

C) can be replicated with a series of forward rate agreements at market rates.

Question 27 of 60

Question ID: 1587978

The price of an interest rate swap is *most accurately* described as:

- **A)** zero at the initiation of the swap contract.
- **B)** decreasing when the reference rate increases.
- **C)** constant throughout the life of the swap contract.

Question 28 of 60

Question ID: 1587979

Other things equal, cash dividends on a stock during an option's life:

- **A)** decrease the value of call options and put options on the stock.
- **B)** increase the value of call options on the stock and decrease the value of put options on the
- **C)** stock.
- **D)** decrease the value of call options on the stock and increase the value of put options on the stock.

Question 29 of 60
Question ID: 1587980

European call and put options with an exercise price of 60 and an expiration date of August 31 are available on an underlying asset. The present value of the price of a forward contract on the same asset today is *closest* to the:

A) call price minus the put price plus the present value of 60.

B) put price minus the call price plus the present value of 60.

C) call price plus the put price minus the present value of 60.

Question 30 of 60
Question ID: 1587981

In a one-period binomial model of an option that uses probabilities of an up-move and a down-move, the probabilities are:

- **A)** assumed to be equal to 0.5.
- **B)** estimated based on historical data.
- **C)** calculated from the model’s inputs.

Question 31 of 60

Question ID: 1587937

Nagle Company produces a commodity with a market price of $3.25 per unit. Nagle forecasts production and sales of 900,000 units over the next quarter. Nagle's variable cost per unit is $3.75, and fixed operating costs are $400,000. Based on these projections, it is *most likely* that:

- **A)** Nagle’s contribution margin for the quarter is $0.50 per unit.
- **B)** Nagle will experience an operating loss of $400,000 for the quarter.
- **C)** Nagle’s breakeven quantity of sales for the quarter is 1,200,000 units.

Question 32 of 60
Question ID: 1587923

A dark pool is *best* described as:

A) an exchange with low trading volume.

B) the loans underlying a mortgage-backed security.

C) an alternative trading system that does not reveal current orders.

Question 33 of 60

Question ID: 1587924

Jacques Fontenot wants to place an order to purchase 10,000 shares of BQ Inc. at a price of €75.00 or below. The shares are currently trading for €82.10 bid and €82.20 ask. What type of order should Fontenot place?

A) Market order.

B) Stop loss order.

C) Limit order.

Question 34 of 60

Question ID: 1587925

In a call market:

- **A)** a single price that clears the market is set periodically.
- **B)** trades may occur at any time during market hours.
- **C)** prices are set by the highest dealer bid and the lowest dealer ask price.

Question 35 of 60

Question ID: 1587927

A mutual fund uses a momentum strategy-buying stocks that have been increasing in price and selling stocks that have been decreasing in price. The *most appropriate* type of equity index to use as a benchmark is:

A) equal weighted.

B) fundamental weighted.

C) market capitalization weighted.

Question 36 of 60

Question ID: 1587928

Sam Grant, CFA, publishes the Grant 50 Index, which consists of value stocks with small market capitalizations. The Grant 50 Index is best described as a:

A) style index.

B) sector index.

C) value weighted index.

Question ID: 1587929

A market researcher is analyzing the efficiency of the Oceania Securities Exchange (OSE). Market prices appear to incorporate all prior price and volume information in a timely manner but are slow to incorporate the true value impact of earnings surprises. The researcher determines that specialists on the floor of the OSE consistently earn positive risk-adjusted returns on average. Which of the three forms of the Efficient Market Hypothesis *best* describes the OSE market?

A) Weak-form efficient.

B) Strong-form efficient.

C) Semistrong-form efficient.

Question 38 of 60
Question ID: 1587930

Participating preference shares are *most accurately* described as preferred stock that:

A) may be exchanged for the firm’s common shares at a predetermined ratio.

B) receives extra dividends if the firm’s profits are greater than a predetermined level.

C) must be paid any omitted dividends from prior periods before the firm may pay dividends to common shareholders.

Question 39 of 60

Question ID: 1587931

Compared with publicly traded firms, private firms *most likely* tend to:

A) focus more on long-term performance.

B) adopt stronger corporate governance policies.

C) be more closely regulated and have higher compliance costs.

Question 40 of 60

Question ID: 1587932

Global depository receipts (GDRs) are:

- **A)** predominantly priced in U.S. dollars.
- **B)** traded in United States markets.
- **C)** sponsored by the company issuing shares.

Question 41 of 60

Question ID: 1587933

Other things equal, preferred stock is *most likely* to pay the highest dividend yield if it has which of the following features?

- **A)** Putable.
- **B)** Callable.
- **C)** Option-free.

Question 42 of 60

Question ID: 1587912

The present value of an equity security's future cash flows is *most likely* to be significantly different from the company's:

A) book value per share.

B) market value per share.

C) intrinsic value per share.

Question 43 of 60

Question ID: 1587934

Which of the following is *most likely* to increase a firm's return on equity (ROE)?

A) Issuing new equity to retire debt.

B) Issuing new debt to retire common stock.

C) A decrease in the market value of its common stock.

Question 44 of 60

Question ID: 1587942

An analyst uses a temporary supernormal growth model to value a common stock. The company paid a $2 dividend last year. The analyst expects dividends to grow at 15% each year for the next three years and then to resume a normal rate of 7% per year indefinitely. The analyst estimates that investors require a 12% return on the stock. The value of this common stock is *closest* to:

- **A)** $39.
- **B)** $53.
- **C)** $65.

Question 45 of 60

Question ID: 1587943

In valuing the stock of Evergreen Enterprises, an analyst compiles the following information about the firm:

Expected constant growth rate of dividends	6%
Next year's expected earnings per share	$4.24
Expected retention ratio	62.5%
Required rate of return	11%

The value of the firm's stock today is *closest* to:

A) $31.80.

B) $38.55.

C) $53.00.

Question 46 of 60

Question ID: 1587944

Enterprise value is *most appropriately* interpreted as:

A) the cost of a firm to a potential acquirer.

B) the estimated fair value of a firm’s tangible and intangible assets.

C) the total market value of a firm’s outstanding debt and equity securities.

Question 47 of 60

Question ID: 1587945

A drawback of using the price to book value ratio as a valuation tool is that book value:

A) is not appropriate for valuing firms with primarily financial assets.

B) may not be an accurate indicator of the value of a company’s assets and equity.

C) is ineffective in valuing companies that are not expected to continue as going concerns.

Question 48 of 60

Question ID: 1587947

Cash flows from a fully amortizing security include:

A) no balloon payment.

B) a single balloon payment.

C) a series of equal balloon payments.

Question 49 of 60
Question ID: 1587950

The difference between on-the-run and off-the-run U.S. Treasury securities is that on-the-run Treasury securities are:

A) traded only in the primary market, while off-the-run Treasury securities are traded only in the secondary market.

B) generally less actively traded than off-the-run Treasury securities and provide less reliable market yields.

C) the most recently auctioned Treasury securities in each maturity, while off-the-run Treasury securities are issues auctioned previously.

Question 50 of 60

Question ID: 1587949

For a repurchase agreement, other things equal, when the security is of higher credit quality, then

- **A)** both the repo rate and repo margin are lower.
- **B)** the repo rate is higher but the repo margin is lower.
- **C)** the repo rate is lower but the repo margin is higher.

Question 51 of 60

Question ID: 1587954

Which of the following 2-year bonds *most likely* has a yield to maturity that can be interpreted as a spot rate?

A) Price = 88.36 percent of par, yield to maturity = 6.38%.

B) Price = 100.00 percent of par, yield to maturity = 5.19%.

C) Price = 103.85 percent of par, yield to maturity = 4.72%.

Question 52 of 60

Question ID: 1587951

An investor bought a $100,000 6% semiannual-pay bond for settlement on November 12, 20X3 at a full price of $94,255. The bond makes coupon payments on January 1 and July 1 and accrued interest is calculated on a 30/360 basis. The flat price of the bond is:

- **A)** less than $92,060.
- **B)** equal to $92,060.
- **C)** greater than $92,060.

Question 53 of 60
Question ID: 1587952

A bond has a Z-spread of 1.6% and an option-adjusted spread (OAS) of 1.4%. This bond is *most likely*:

A) putable.

B) callable.

C) convertible.

Question 54 of 60

Question ID: 1587955

Based on the following rates:

1-year spot rate	2.0%
2-year spot rate	2.5%
3-year spot rate	3.0%
4-year spot rate	3.5%

The 2-year forward rate two years from now is *closest* to:

- **A)** 3.25%.
- **B)** 3.50%.
- **C)** 4.50%.

Question 55 of 60

Question ID: 1587959

When analyzing the interest rate risk of the following bonds, which is *most likely* to require the use of effective duration?

A) 10-year, zero-coupon corporate bond.

B) 10-year, 4% coupon mortgage-backed bond.

C) 5-year, zero-coupon non-sovereign government bond.

Question 56 of 60

Question ID: 1587956

When is a bond investor *most likely* to realize an annualized rate of return greater than the bond's yield to maturity (YTM) on the date of purchase? After the investor buys the bond, market interest rates:

- **A)** increase, and the investor holds the bond to maturity.
- **B)** decrease, and the investor holds the bond to maturity.
- **C)** decrease, and the investor sells the bond prior to maturity.

Question 57 of 60

Question ID: 1587960

Allison Coleman, CFA, owns a bond portfolio that includes Bond X, a callable bond with ten years to maturity that is callable at any time beginning one year from today. Coleman's portfolio also includes Bond Y, a noncallable security with ten years to maturity that carries the same credit rating as Bond X. Coleman expects interest rates to decrease steadily over the next few years. Based on this assumption, Coleman should expect that:

A) Bond Y will experience a larger decrease in value than Bond X.

B) Bond X will benefit from positive convexity as rates decline.

C) the option embedded in Bond X will increase in value.

Question 58 of 60

Question ID: 1587962

Chris South owns $25,000 face value of Bradco bonds, which have a 7% coupon, pay interest semiannually, and have six years remaining until maturity. The bonds are callable at par. The bonds were rated A when Chris bought them at par two years ago, and they are currently worth $26,225, with a rating of AA. Over this 2-year period, the Bradco bonds have experienced a(n):

- **A)** decrease in call risk.
- **B)** increase in liquidity risk.
- **C)** decrease in credit risk.

Question 59 of 60

Question ID: 1587963

The *least likely* item to be a cause for concern when using bond ratings from a commercial provider is that:

A) event risk is difficult for ratings firms to estimate.

B) lower bond ratings are less stable than higher bond ratings.

C) bond ratings are backward looking and based on prior financial results.

Question 60 of 60

Question ID: 1587964

When calculating and interpreting a firm's leverage and coverage ratios, which component of traditional credit analysis is an analyst *most likely* addressing?

A) Capacity.

B) Character.

C) Collateral.